WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MALAYSIA

Asia

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Kuala Lumpur and Selangor (Klang Valley)	Capital region and commercial centre; Selangor attracted the largest share of approved investment in H1 2026 at RM70.0 billion	Financial services, data centres, digital services, logistics
Johor and the Johor-Singapore Special Economic Zone (JS-SEZ)	Fast-growing southern hub linked to Singapore; RM59.4 billion of approved investment in H1 2026 and the core of Malaysia's data-centre build-out	Data centres, advanced manufacturing, logistics, business services
Penang and Kulim (northern corridor)	Long-established semiconductor and electronics cluster, supported in Budget 2027 by a new strategic fund for semiconductor and advanced manufacturing firms	Semiconductors, E&E, medical devices, automation
Port Klang and Tanjung Pelepas	Deep-water ports on the Strait of Malacca serving one of the world's busiest shipping lanes	Port logistics, transhipment, warehousing
Sarawak	Resource-rich Borneo state with hydropower and gas, attracting RM10.8 billion of approved investment in H1 2026	Renewable energy, green hydrogen, petrochemicals, energy-intensive industry
Labuan	Federal territory hosting the Labuan International Business and Financial Centre (IBFC) with its own regulatory regime	Offshore banking, insurance, fund management, holding structures
Offshore Sabah and Sarawak basins	Principal oil and gas production areas, with petroleum products and LNG among the drivers of 2026 export growth	Upstream oil and gas, LNG, oilfield services

INVESTOR ENTRY ROUTES

- Malaysian Investment Development Authority (MIDA), the national investment promotion agency, provides facilitation and incentive approvals through the Invest Malaysia portal
- New Incentive Framework (from 1 March 2026 for manufacturing), offering outcome-based special tax rates of 0–10% or investment tax allowances of up to 100% for up to 15 years, aligned with the New Industrial Master Plan 2030
- Johor-Singapore Special Economic Zone, supported by the Invest Malaysia Facilitation Centre–Johor (IMFC-J) as a dedicated entry point for cross-border projects

- Digital Ecosystem Acceleration (DESAC) incentives for data-centre and digital infrastructure providers, alongside Malaysia Digital status administered by MDEC
- Labuan IBFC for regional holding, treasury, insurance and fund structures under the Labuan Financial Services Authority
- Bank Negara Malaysia's foreign exchange policy, under which non-resident investors may repatriate capital, profits and dividends freely
- Production-sharing contracts and service partnerships with Petronas for upstream oil and gas participation

MARKET-ENTRY OBSERVATION

Malaysia in October 2026 is one of Asia's strongest-performing open economies. GDP grew 6.0% in Q2 2026 after 5.4% in Q1, giving 5.7% for the first half, and Bank Negara Malaysia has raised its 2026 forecast to around 5%. Inflation remains low at 1.9% in August, unemployment is 3.0%, and the overnight policy rate has been held at 2.75%. Exports rose 31.2% to RM1.36 trillion in January–August 2026, extending a run of 76 consecutive monthly trade surpluses. Investment momentum is exceptional: FDI inflows rose 41.2% to RM65.9 billion in 2025, and approved investments reached RM218.5 billion in H1 2026, up 11.7%, with foreign investment up 18.5% and led by the United States, Singapore, Japan and China. The New Incentive Framework, the New Industrial Master Plan 2030 and the Johor-Singapore SEZ give investors a clear and modern policy architecture.

Malaysia's principal structural challenge is keeping power, water and skills supply in step with an AI and data-centre boom that accounted for RM95.8 billion, or about 44%, of approved investment in H1 2026. AMRO estimates that data-centre capacity could rise to 3–4 GW by 2029 and that power-supply applications exceeded 11,000 MW by end-2024, around 40% of Peninsular Malaysia's generating capacity. The government is responding methodically: sustainability and planning guidelines for data centres, a Corporate Renewable Energy Supply Scheme, 6–8 GW of new gas-fired capacity planned by 2030, and RM15 billion of grid investment by Tenaga Nasional Berhad announced in Budget 2027, with a projected reserve margin of 28–36% providing headroom. Each of these measures creates investment opportunities in its own right, in renewable generation, grid, water infrastructure, cooling technology and higher-value digital services, while fiscal consolidation (a deficit target of 3.3% of GDP for 2027) and international reserves of $132 billion underpin macro stability.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Power and water demand from data centres	Rapid data-centre growth is placing new demands on grid capacity and local water supply, and Johor has declined applications with weak sustainability practices	Engage TNB and state authorities early, design for efficiency under the sustainability guidelines, and consider renewable sourcing through the Corporate Renewable Energy Supply Scheme
US tariff and export-control environment	The US tariff regime was reset in 2026, but around 68% of Malaysia's exports to the US are exempt, including 99.9% of semiconductors; Malaysia requires permits for exports of US-origin high-performance AI chips	Build trade-compliance and end-use checks into AI and semiconductor projects; Malaysia's proactive controls strengthen its standing as a trusted technology partner
Skilled labour availability	Demand for engineers and technicians is outpacing supply, and many skilled Malaysians work abroad, particularly in Singapore	Partner with universities and state skills programmes, and use outcome-based incentives that reward high-value job creation
Transition to outcome-based incentives	The New Incentive Framework replaces profit-based tax holidays with packages scored on jobs, supply chains, complexity and ESG commitments	Prepare a credible scorecard proposal with MIDA; higher commitments secure larger incentive packages of up to 15 years
Public finances	Federal government debt was 63.1% of GDP in June 2026, with the deficit narrowing from 3.7% in 2025 to a 3.3% target for 2027	Debt is largely held by residents (78.5%) and consolidation is on track; fiscal discipline supports a stable operating environment
Sector-specific equity and licensing conditions	Certain sectors, including some services, distributive trade and oil and gas services,	Take local legal advice on sector rules and consider partnerships with established

Issue	Potential Impact	Possible Mitigation
	carry local participation or licensing requirements	Malaysian firms or Petronas-licensed contractors
JS-SEZ framework still maturing	The JS-SEZ master plan is still being finalised with Singapore, although RM76.98 billion of investment was approved in the zone in 2025	Use IMFC-J for facilitation now and position early for incentives and connectivity improvements as the master plan is rolled out

INVESTOR RISK NOTE

Malaysia's risk profile is that of a diversified, upper-middle-income economy with strong institutions, a credible central bank and a long record of hosting multinational manufacturers. Growth of 5.7% in H1 2026, low inflation, a sustained trade surplus and international reserves of $132 billion (4.7 months of imports) provide a solid foundation, while the deficit is narrowing toward the medium-term target of 3% or lower. The main considerations for investors are practical rather than systemic: securing power, water and skilled staff for large projects, and managing trade compliance for AI and semiconductor supply chains given US export controls and Malaysia's own permit regime for US-origin AI chips. These are well understood and manageable with early engagement with utilities, MIDA and legal advisers. Malaysia's balanced relations with the US, China, Japan, Europe and the Gulf, and its extensive trade-agreement network, position it well to benefit from supply-chain diversification across Asia.

MARKET ACCESS

Malaysia is a founding member of the WTO and of ASEAN, and is party to both the Regional Comprehensive Economic Partnership (RCEP) and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). It signed an Economic Partnership Agreement with the EFTA states in 2025 and holds bilateral FTAs with Japan, South Korea, India, Australia and others. Its main export markets are ASEAN, China, the United States, Taiwan and the European Union, with the US taking around 13% of exports in 2023–2025. Positioned on the Strait of Malacca, with major ports at Port Klang and Tanjung Pelepas and a deepening economic partnership with Singapore through the JS-SEZ, Malaysia offers investors both regional reach and integration into global electronics and data supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Anwar Ibrahim, also Minister of Finance)	Sets national economic direction under the MADANI framework and tabled the record RM510 billion Budget 2027	Primary reference point for strategic priorities and large-scale project support
Malaysian Investment Development Authority (MIDA)	National investment promotion agency administering the New Incentive Framework and approvals	Standard first point of contact for market entry and incentive negotiation
Bank Negara Malaysia	Central bank; sets the overnight policy rate (2.75%) and administers foreign exchange policy	Relevant for financing conditions, banking licences and currency matters
Ministry of Investment, Trade and Industry (MITI)	Leads trade negotiations, industrial policy under NIMP 2030 and the AI-chip export permit regime	Key counterpart on trade access, tariffs and compliance
Ministry of Economy	Coordinates national planning and leads Malaysia's work on the Johor-Singapore SEZ	Essential for JS-SEZ positioning and national development priorities
Petronas	National oil and gas company and a major contributor to federal revenue	Gateway for upstream, LNG and energy-transition partnerships
Labuan Financial Services Authority (Labuan FSA)	Regulator of the Labuan International Business and Financial Centre	Relevant for regional holding, treasury and financial-services structures

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Malaysian Chamber of Commerce (AmCham Malaysia), the British Malaysian Chamber of Commerce and the EU-Malaysia Chamber of Commerce and Industry are the leading foreign business associations, alongside the Federation of Malaysian Manufacturers for industrial liaison. MIDA maintains overseas offices and runs regular investor missions and sector briefings, while IMFC-J hosts JS-SEZ forums and supplier events, such as the Micron–OCBC supplier event in 2026 that brought Korean, Japanese and Taiwanese suppliers to Johor. MDEC supports digital-economy investors, InvestKL and state agencies such as InvestPenang provide city- and state-level facilitation, and the World Bank's Malaysia office contributes research and policy dialogue on the country's high-income transition.

INVESTOR PROFILE BEST SUITED

Malaysia suits a wide range of investors seeking a stable, well-connected Asian manufacturing and digital base: semiconductor and electronics firms building on the Penang and Kulim cluster; hyperscalers, data-centre developers and digital-infrastructure investors drawn by Johor and the Klang Valley; renewable-energy, grid and water investors addressing the growing demand that this boom creates; and logistics and advanced-manufacturing companies using the JS-SEZ to complement Singapore operations. Financial-services groups can use Kuala Lumpur and Labuan for regional structuring, and energy investors benefit from long-standing Petronas partnerships and Sarawak's renewable resources.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage MIDA on the New Incentive Framework
Open early dialogue with MIDA to understand how the outcome-based scorecard applies to the project and to shape commitments that secure the strongest incentive package.

STEP 2: Secure power, water and site approvals early
For data-centre and energy-intensive projects, engage TNB, state water authorities and planning bodies at the outset and design to the national sustainability guidelines.

STEP 3: Position for the Johor-Singapore SEZ
Use IMFC-J for facilitation and follow the finalisation of the master plan to align investments with forthcoming incentives and cross-border connectivity.

STEP 4: Build trade-compliance into technology supply chains
Map US tariff exemptions and export-control obligations, including Malaysia's permit regime for US-origin AI chips, into contracts and logistics planning.

STEP 5: Plan the talent pipeline
Partner with universities, state skills programmes and industry bodies to secure engineers and technicians, an approach the incentive framework also rewards.